WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

EAST TIMOR

Asia

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Dili	Capital and commercial centre; seat of government, the main banking and services hub and landing point of the new international submarine cable	Services, retail, hospitality, construction, digital
Tibar Bay Port (west of Dili)	The country's first modern container terminal, a $490 million PPP under a 30-year concession and now the main maritime gateway	Port logistics, warehousing, import distribution
Greater Sunrise fields (Timor Sea)	Major gas and condensate resource 150 km offshore, with 5.13 trillion cubic feet of gas and 225.9 million barrels of condensate in contingent resources; Timor Gap is moving to a 66.56% stake	Gas, LNG, oilfield services, engineering
South coast (Natarbora)	Proposed landing point for gas from Bayu-Undan, Chuditch and nearby fields to support domestic processing industries, and Dili's preferred direction for a Greater Sunrise pipeline	Gas processing, construction, energy infrastructure
Bayu-Undan (Timor Sea)	Production ended in June 2025 after two decades; the government is preparing a strategy covering possible carbon capture and storage and a gas restart within three to four years	Carbon capture and storage, decommissioning services, gas
Oe-Cusse (ZEESM Special Economic Zone)	Exclave special economic zone offering extended tax holidays, simplified customs and pre-approved industrial land, within the highest-incentive investment zone	Agro-processing, light manufacturing, tourism
Ataúro Island	Island destination close to Dili that sits in the top incentive zone under the Private Investment Law, with the longest tax incentives and land concessions	Eco-tourism, hospitality, marine activities

INVESTOR ENTRY ROUTES

- TradeInvest East Timor (national investment promotion agency) certifies investors and coordinates Investment Certificates, working with SERVE, the one-stop business registry, where company registration takes around five days

- Private Investment Law 15/2017 and its 2018 implementing decree, offering income-tax holidays of up to ten years, duty-free import of capital goods and a guarantee of free repatriation of profits and dividends
- Location-based incentive zones (Dili; other municipalities; Ataúro and Oe-Cusse), with the Oe-Cusse Special Economic Zone (ZEESM) offering the most generous terms
- US dollar as legal tender, removing exchange-rate risk, with Central Bank of East Timor supervising the banking system; corporate income tax on non-petroleum activity is 10%
- Petroleum-sector participation through licensing by the National Petroleum Authority and partnership with the national oil company Timor Gap, with the Greater Sunrise legal and fiscal framework being finalised with Australia
- Public–private partnerships encouraged in infrastructure, power and education, building on the Tibar Bay Port precedent

MARKET-ENTRY OBSERVATION

East Timor in October 2026 is entering a new phase of regional integration with a stable macroeconomic base. The economy grew 4.5% in 2025, its fastest pace since 2014, and the central bank projects 5% growth in 2026, while inflation has eased to 0.5% year-on-year in July 2026 in a fully dollarised economy. East Timor became ASEAN's 11th member on 26 October 2025, following WTO accession in 2024, and will chair ASEAN in 2029. FDI inflows rose to $253 million in 2025 from $225 million in 2024, and connectivity is improving fast: the East Timor South Submarine Cable began commercial operation in July 2026 with 27 Tbps of capacity, complementing the Tibar Bay Port. A Private Investment Law offering tax holidays of up to ten years and guaranteed profit repatriation provides a clear entry framework.

East Timor's central structural task is the transition beyond its first generation of petroleum revenue. Bayu-Undan stopped producing in June 2025 and the state budget is financed largely by transfers from the Petroleum Fund, which the IMF recommends managing through gradual fiscal consolidation, including the introduction of VAT by 2027. The country approaches this transition from a position of considerable strength: the Petroleum Fund stood at $18.43 billion at end-June 2026, around seven times the proposed $2.57 billion 2027 budget, and has generated $12.65 billion in cumulative investment returns. The next growth platform is advancing too. Timor Gap agreed in September 2026 to acquire Osaka Gas's 10% stake in Greater Sunrise, lifting its holding to 66.56%, and negotiations with Australia on the field's mining code, production-sharing contract and fiscal regime have progressed. Together with plans to restart gas production near Bayu-Undan within three to four years, this creates openings in energy services alongside a broader diversification drive in tourism, agriculture and digital services.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Transition from petroleum revenue	Bayu-Undan ceased production in June 2025, so the budget now relies mainly on Petroleum Fund transfers, and the IMF projects the Fund declining over time without consolidation	An $18.43 billion Fund provides a long runway for reform; the IMF-backed shift toward VAT and spending reform creates demand for private-sector-led growth
Greater Sunrise development concept	Dili favours a pipeline to East Timor's south coast, which a Wood study found viable, while Woodside prefers processing in Darwin; the legal framework is still being finalised	Timor Gap's move to a 66.56% stake strengthens national direction; energy-services investors can position early for either concept
Small domestic market and narrow export base	A population of about 1.4 million and non-oil exports of $35.8 million in 2025, mainly coffee, limit the scale of local demand	Use ASEAN and WTO membership to serve regional markets; target niche exports such as specialty coffee and tourism
Access to local finance	High interest rates and lending concentrated in construction and trade constrain domestic investment	Bring parent or DFI financing (World Bank Group, ADB); dollarisation removes currency risk on foreign-currency funding
Land ownership and titling	The Constitution prohibits foreign land ownership and land titling is still being completed	Use long-term state or private leases with thorough title due diligence; Oe-Cusse offers pre-approved industrial land

Issue	Potential Impact	Possible Mitigation
Infrastructure and skills	Power, roads and vocational skills are still developing, adding to project costs outside Dili	Upgrades are under way, including Tibar Bay Port, the new submarine cable and ADB-financed airport expansion; build training into project plans
Fiscal and tax policy changes	Salaries and transfers absorb 81% of state spending ahead of the 2027–2028 election period, and a new VAT is planned	Monitor budget and tax reform through TradeInvest and advisers; secure incentives in Investment Certificates at the outset

INVESTOR RISK NOTE

East Timor's risk profile is that of a young, peaceful democracy with very low inflation, a dollarised economy and a substantial sovereign wealth fund. The end of Bayu-Undan production in 2025 marks a well-anticipated transition rather than a shock: the $18.43 billion Petroleum Fund, a clear IMF and World Bank reform agenda, and advancing work on Greater Sunrise give the state substantial time and resources to broaden its revenue base. ASEAN membership since October 2025 and WTO membership are anchoring trade and regulatory reform, while the Private Investment Law's tax holidays and repatriation guarantee offer a predictable entry route. Investors should allow for a small domestic market, land-lease rather than freehold structures, developing infrastructure and possible tax changes such as the planned VAT, all of which can be addressed through careful structuring, local partnerships and early engagement with TradeInvest.

MARKET ACCESS

East Timor became the 11th member of ASEAN on 26 October 2025, opening a path into a regional market of more than 650 million people as it phases into ASEAN economic agreements, and has been a WTO member since August 2024. It is also a member of the Community of Portuguese Language Countries (CPLP), linking it to Lusophone markets, and will chair ASEAN in 2029. Historically, petroleum from the Timor Sea was its dominant export, while non-oil exports, led by specialty coffee, reached $35.8 million in 2025. Tibar Bay Port is the main maritime gateway, and the country's first international submarine cable, connected via Australia, entered commercial service in July 2026, with links to Indonesia and other regional networks planned. Proximity to Darwin and Indonesia gives East Timor a natural position between Australia and South-East Asia.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Xanana Gusmão)	Leads the government's economic agenda, including ASEAN integration and the Greater Sunrise strategy	Primary reference point for strategic direction and major project priorities
Vice Prime Minister and Coordinating Minister for Economic Affairs (Francisco Kalbuadi Lay)	Coordinates economic policy and also holds the tourism and environment portfolio, naming tourism, agriculture and energy as partnership priorities	Key interlocutor for cross-sector investment proposals
TradeInvest East Timor	National investment promotion agency that certifies investors and coordinates Investment Certificates and incentives	Standard first point of contact for market entry and incentive guidance
Central Bank of East Timor	Banking supervisor in a dollarised economy and operational manager of the Petroleum Fund	Relevant for banking licences, payments and macroeconomic intelligence
Ministry of Petroleum and Mineral Resources and National Petroleum Authority	Lead Greater Sunrise negotiations and the Bayu-Undan strategy, and regulate petroleum licensing and decommissioning	Essential for energy, carbon capture and mining engagement
Timor Gap, E.P. (national oil company)	Majority owner of Greater Sunrise, moving to a 66.56% stake	Central partner for upstream, gas-processing and energy-services opportunities

Actor	Why It Matters	Waverley Engagement Angle
Ministry of Finance	Prepares the state budget, including the proposed $2.57 billion 2027 budget, and leads tax and public financial management reform	Relevant for fiscal outlook, tax changes and PPP pipelines

CURRENT INTERNATIONAL BUSINESS CHANNELS

The East Timor Chamber of Commerce and Industry (CCI-TL) is the main domestic business association and a partner for matchmaking with local firms. The Darwin to Dili Business & Investment Summit and Invest East Timor 2026 business forum, held in Dili on 27–30 October 2026 with TradeInvest, CCI-TL, the Property Council of Australia NT and Australian Government support, offers structured business-to-business meetings with Timorese companies and officials. The Australian Embassy is an active commercial partner, reflecting Australia's position as one of the main sources of FDI alongside Indonesia and the United States. The World Bank Group, ADB and IMF maintain active programmes in infrastructure, public finance and private-sector development, and ASEAN membership is opening new regional business networks.

INVESTOR PROFILE BEST SUITED

East Timor best suits investors with a long-term horizon who value early-mover positioning in ASEAN's newest member: tourism and hospitality investors drawn by Ataúro, the coast and the government's tourism priority; agribusiness investors in specialty coffee and food processing; energy-services, engineering and carbon-capture specialists positioning for Greater Sunrise and Bayu-Undan; and infrastructure, logistics and telecoms investors building on the Tibar Bay Port PPP and the new submarine cable. Development finance institutions and impact investors can play a catalytic role, while dollarisation and guaranteed profit repatriation give all investors a simple currency environment.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage TradeInvest and secure an Investment Certificate
Open dialogue with TradeInvest East Timor to confirm sector eligibility and lock in tax holidays and customs incentives under the Private Investment Law before committing capital.

STEP 2: Join the October 2026 Invest East Timor programme or follow-up missions
Use the Darwin to Dili summit, CCI-TL and the Australian Embassy for matchmaking with Timorese companies and meetings with government counterparts.

STEP 3: Structure land and site access early
Plan for long-term leases with full title due diligence, and compare location-based incentives in Dili, the municipalities, Ataúro and the Oe-Cusse zone.

STEP 4: Track Greater Sunrise and Bayu-Undan decisions
Follow the finalisation of the Sunrise legal and fiscal framework and the Bayu-Undan strategy with Timor Gap and the petroleum ministry to position for energy-services and processing opportunities.

STEP 5: Use ASEAN membership as a regional platform
Assess how phased adoption of ASEAN trade agreements can support export-oriented operations, and monitor tax reform including the planned VAT in project planning.